

After the first dispute outcome

Most merchants understand the first round of a dispute: a chargeback arrives, you send evidence, you win or you lose. What is far less well understood is what happens after that first outcome — the second dispute cycle, made up of pre-arbitration and arbitration.

This is where a large share of recoverable revenue is won or lost, for three reasons:

- 1 **The clocks are short.** The windows in cycle two are measured in 10–15 days, not the 20–30 days of the first cycle.
- 2 **The action owner changes depending on the scheme and the dispute reason.** In most flows the issuer decides whether to escalate. In Visa Allocation (fraud and authorization) disputes, the decision sits with you — and you get only 10 days.
- 3 **Arbitration has a price tag.** The losing party pays the scheme's filing and review fees (typically USD 400–800, in addition to the disputed amount), so the final step is a commercial decision, not just an evidence decision.

The one-minute summary below gives the plain-English version. The table and flow diagrams that follow show the exact steps for each scheme.

The one-minute summary

VISA COLLABORATION, MASTERCARD, DISCOVER / DINERS

- 1 **Initial chargeback** — the cardholder's issuing bank initiates the dispute.
- 2 **Our representment** — we challenge the dispute with your evidence.
- 3 **Issuer rejection** — the issuing bank rejects the evidence, in what is called the “pre-arbitration” stage.
- 4 **Formal rebuttal** — we formally escalate and challenge their rejection (the “pre-arbitration response”).
- 5 **Final resolution** — the issuing bank must then either accept liability or take the case to formal arbitration with the card scheme (e.g. Visa), where the losing party incurs a fee (typically USD 400–800).

VISA ALLOCATION (FRAUD AND AUTHORIZATION DISPUTES)

- 1 **Initial chargeback** — the cardholder's issuing bank initiates the dispute.
- 2 **Our representment** — we challenge the dispute with your evidence, in what is called raising the “pre-arbitration”.
- 3 **Issuer rejection** — the issuing bank rejects the evidence, in what is called the “pre-arbitration response”.
- 4 **Final resolution** — the merchant must then either accept liability or take the case to formal arbitration with the card scheme, where the losing party incurs a fee (typically USD 400–800).

The single most important difference: in Allocation there is no “formal rebuttal” step for you, because your pre-arbitration was the rebuttal. Once the issuer rejects it, the next move is yours — escalate to arbitration or accept liability.

Key deadlines

YOU · NEW DISPUTE 20 days to send us your evidence	ISSUER · REVIEW 30 days to respond to our evidence	ISSUER · ARBITRATION 10–15 days to decide on arbitration after our pre-arbitration response (15 for Mastercard)	YOU · VISA ALLOCATION 10 days to decide on arbitration after the issuer's pre-arbitration response
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At a glance: the decision owner, by scheme

For each scheme: what each stage is called, the status you'll see in your dispute reports, and who decides whether the case goes to arbitration.

Stage	Visa Collaboration and Discover / Diners Visa 12.x and 13.x	Mastercard All reason codes	Visa Allocation Visa 10.x and 11.x
The issuer opens the dispute ADJM	Dispute	First chargeback	Dispute
We respond with your evidence RPDR You have 20 days	Dispute response	Second presentment	Pre-arbitration
The issuer rejects our evidence RPDL It has 30 days to review	Pre-arbitration	Pre-arbitration	Pre-arbitration response
We challenge the rejection	Pre-arbitration response	Pre-arbitration response	Arbitration Filed directly with Visa
Who decides on arbitration	Issuer	Issuer	You
Time to decide	10 days after our pre-arbitration response	15 days after our pre-arbitration response	10 days after the issuer's pre-arbitration response

American Express works differently: it is both the card network and the issuer, so there is no pre-arbitration or arbitration stage.

STATUS CODES IN YOUR DISPUTE REPORTS

ADJM	Chargeback received
RPDR	Represented: we submitted your evidence. For Visa Allocation, we initiated pre-arbitration
RPDW	Representment won
RPDL	Representment lost: the issuer's pre-arbitration. For Visa Allocation, it refers to the issuer's pre-arbitration response

Visa Collaboration and Discover / Diners

Visa processing-error (12.x) and consumer (13.x) disputes, and all Discover / Diners Club disputes · the issuer decides on arbitration

- 1 Initial chargeback

Dispute ADJM

The cardholder's issuing bank raises the dispute.
- 2 Our response

Dispute response RPDR

We challenge the dispute with your evidence. You have 20 days to send it to us.
- 3 Issuer rejection

Pre-arbitration RPDL

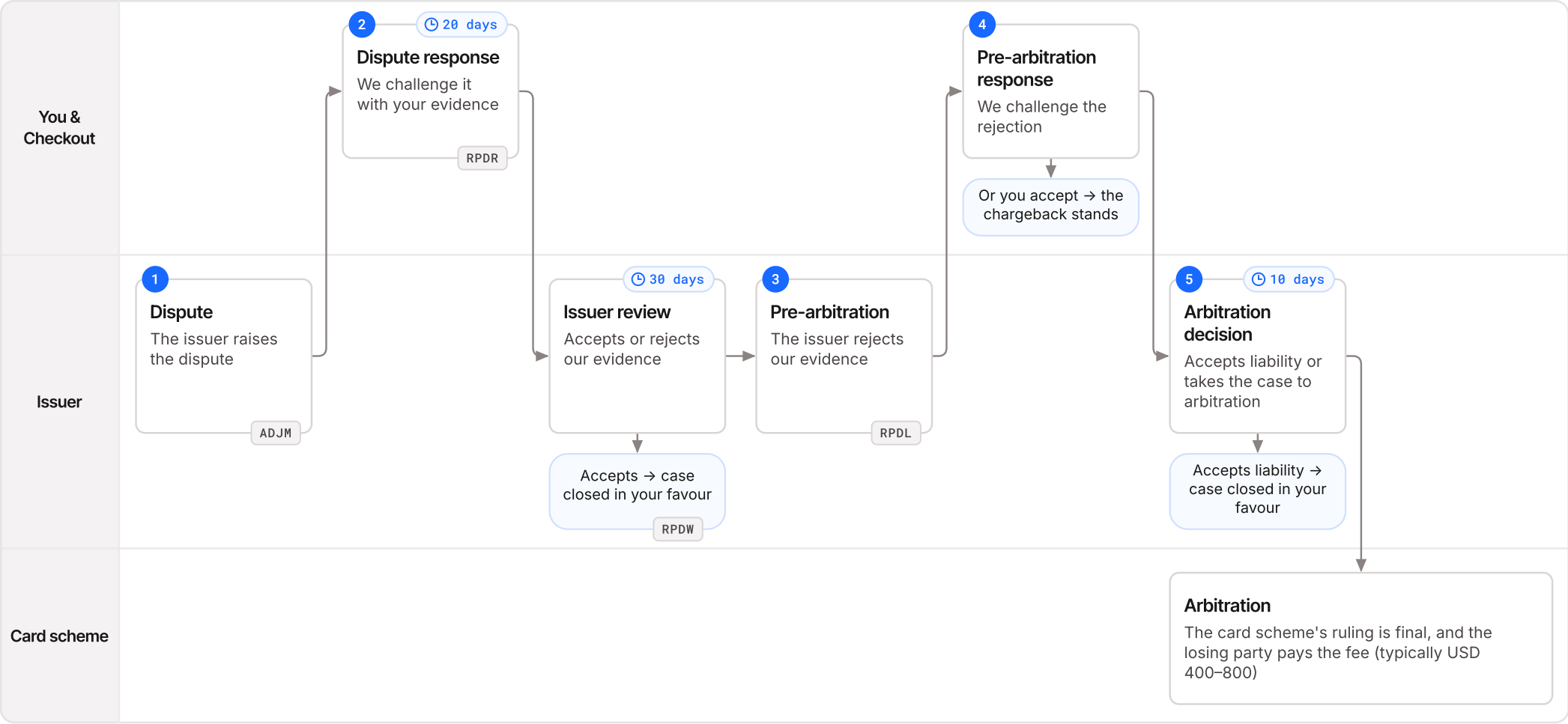
The issuer has 30 days to review. If it rejects our evidence, it raises a pre-arbitration.
- 4 Formal rebuttal

Pre-arbitration response

We formally challenge the rejection. You can also choose to accept the chargeback at this point.
- 5 Final resolution

Arbitration

The issuer has 10 days to accept liability or take the case to arbitration, where the losing party pays a fee (typically USD 400–800).



Mastercard

All reason codes · the issuer decides on arbitration

1 Initial chargeback

First chargeback ADJM

The cardholder's issuing bank raises the dispute.

2 Our response

Second presentment RPDR

We challenge the dispute with your evidence. You have 20 days to send it to us.

3 Issuer rejection

Pre-arbitration RPDL

The issuer has 30 days to review. If it rejects our evidence, it raises a pre-arbitration.

4 Formal rebuttal

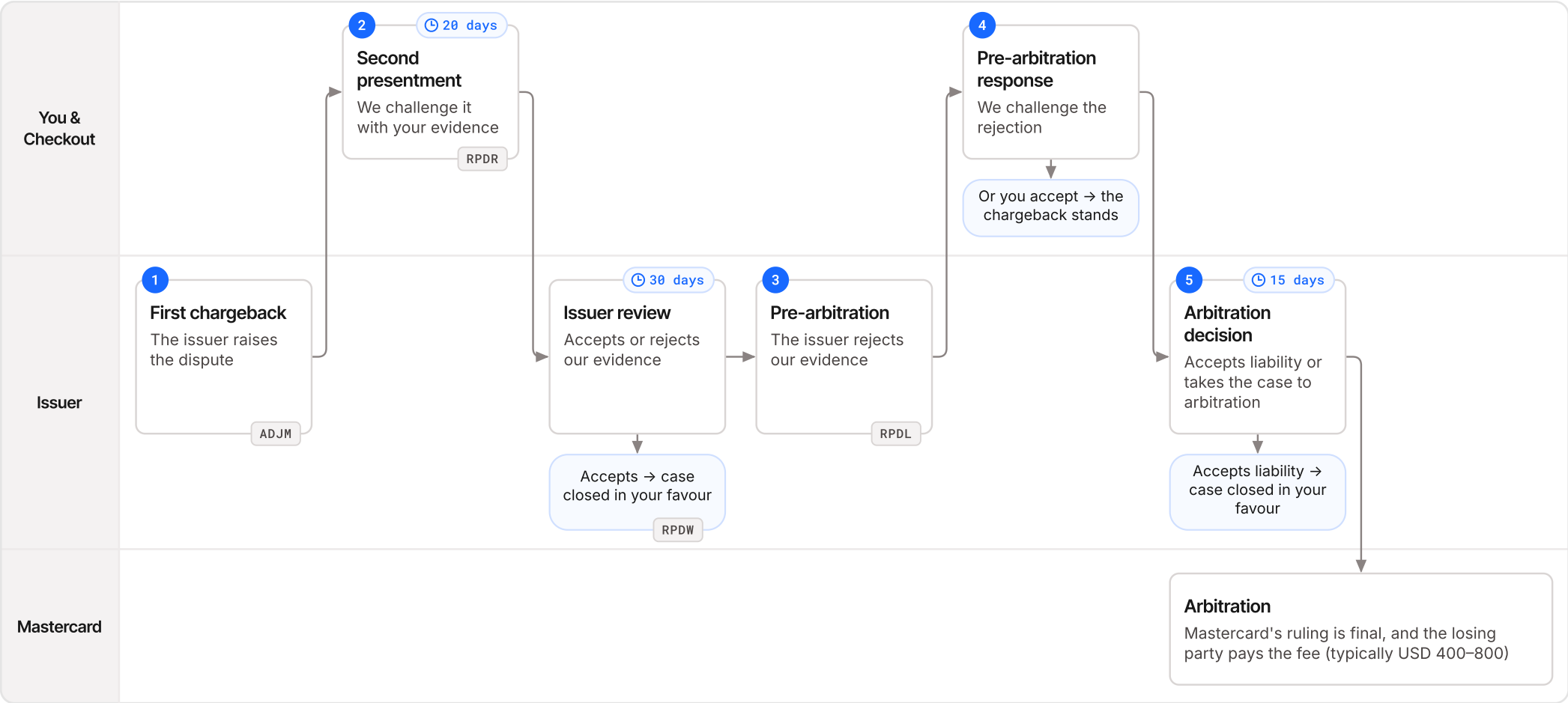
Pre-arbitration response

We formally challenge the rejection. You can also choose to accept the chargeback at this point.

5 Final resolution

Arbitration

The issuer has 15 days to accept liability or take the case to arbitration with Mastercard, where the losing party pays a fee (typically USD 400–800).



Visa Allocation

Fraud (10.x) and authorization (11.x) disputes · you decide on arbitration, not the issuer

1 Initial chargeback

Dispute ADJM

The cardholder's issuing bank raises a fraud or authorization dispute.

2 Our response

Pre-arbitration RPDR

We challenge the dispute with your evidence by raising a pre-arbitration. You have 20 days to send it to us.

3 Issuer rejection

Pre-arbitration response RPDL

The issuer has 30 days to review. If it rejects our evidence, it sends a pre-arbitration response.

4 Final resolution

Arbitration

You decide: accept liability, or take the case to arbitration with Visa, where the losing party pays a fee (typically USD 400–800). We have 10 days to file, so please tell us quickly.

